

# XBRA — Explainable Behavioral Risk Attribution

Investor: INV\_HERDING\_028

Report date: 2026-09-12

## 1. Executive Summary

Analysis of INV\_HERDING\_028's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **31%** of the portfolio's maximum drawdown of **-3.9%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

## 2. Investor Risk Profile

| Metric               | Value      |
|----------------------|------------|
| Dominant Bias        | Herding    |
| Strategy Archetype   | Day Trader |
| Max Drawdown         | -3.9%      |
| Sharpe Ratio         | 3.78       |
| Sortino Ratio        | 8.73       |
| Peer Risk Percentile | 43th       |
| Behavioural Risk %   | 31%        |

## 3. Charts

## 4. Behavioral Bias Deep-Dives

### Herding

**Pattern:** You followed recent market momentum 69% of the time (vs population median 69%), indicating a tendency to buy high.

**Evidence:** Momentum-driven trades: META | entry 2020-01-02 → exit 2020-01-22 | 20d | P&L; +389 MSFT | entry 2020-01-30 → exit 2020-02-06 | 7d | P&L; +604 MSFT | entry 2020-02-11 → exit 2020-02-25 | 14d | P&L; -435 WMT | entry 2020-03-04 → exit 2020-03-12 | 8d | P&L; -1138 AMZN | entry 2020-03-19 → exit 2020-04-06 | 18d | P&L; +356

**Consequence:** Entering trades after momentum peaks contributed approximately 30% of your total drawdown.

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## 5. Trade Evidence

| Trade ID     | Symbol | Entry      | Exit       | Days | P&L   |
|--------------|--------|------------|------------|------|-------|
| INV_HERDING_ | AMD    | 2020-07-20 | 2020-07-24 | 4    | 1767  |
| INV_HERDING_ | TSLA   | 2021-01-06 | 2021-01-09 | 3    | 1488  |
| INV_HERDING_ | AAPL   | 2024-05-28 | 2024-06-12 | 15   | 1326  |
| INV_HERDING_ | BABA   | 2022-11-21 | 2022-11-30 | 9    | 1260  |
| INV_HERDING_ | CVX    | 2022-08-26 | 2022-09-23 | 28   | -1190 |
| INV_HERDING_ | NVDA   | 2024-09-09 | 2024-09-11 | 2    | 1167  |
| INV_HERDING_ | NFLX   | 2022-09-29 | 2022-10-11 | 12   | -1144 |
| INV_HERDING_ | WMT    | 2020-03-04 | 2020-03-12 | 8    | -1138 |
| INV_HERDING_ | AMD    | 2023-05-19 | 2023-06-01 | 13   | 1119  |
| INV_HERDING_ | NVDA   | 2024-02-13 | 2024-02-25 | 12   | 1042  |

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## 6. Recommendations

1. Set a stop-loss rule: exit any trade that loses more than 7% of its entry value.
2. Limit yourself to a maximum of 5 new trades per month to reduce overtrading.
3. Use a trading journal to record your reasons before each entry and review weekly.
4. Evaluate each trade against SPY performance to separate skill from market luck.